

Honors Intro Micro | MiniExam 3 Demo

Part 1 | Keeping House: Gryffindor

Ron and Harry share a room in the Gryffindor tower during the school year. Neither student is partial to chores, and would prefer not to tidy up their shared space. But both enjoy when the room is clean, and are more than willing to tidy the room if it means the space is neat. Their payoffs are represented by the following payoff matrix:

		Harry	
		Clean	Don't Clean
Ron	Clean	2, 2	0, 3
	Don't Clean	3 , 0	1 , 1

Part A. Dominant Strategy

Does Harry have a dominant strategy? If so, what is it?

Yes, Don't Clean

Part B. Efficient Strategies

Which set of strategies is efficient for Ron and Harry?

(Clean, Clean)

Part C. Nash Equilibrium

What is the Nash equilibrium?

(Don't Clean, Don't Clean)

Part 2 | Keeping House: Slytherin

Meanwhile in Slytherin, Malfoy and Crabbe face a similar situation. But due to their financial position, they may choose to hire a house elf to avoid the unpleasant chore of cleaning up, or avoid paying and leave their room messy. Their payoffs are given in the following table.

		Malfoy	
		Hire	Don't Hire
Crabbe	Hire	4, 4	3, 3
	Don't Hire	3, 4	2, 3

Part A | Dominant Strategy

Does Malfoy have a dominant strategy? If yes, which strategy is dominant?

~~No~~ Yes, Hire.

Part B | Efficiency

Which set of strategies is efficient for Malfoy and Crabbe?

(Hire, Hire)

Part C | Nash Equilibrium

What is the Nash Equilibrium?

(Hire, Hire)